

DOCUMENT CONTROL

Master Service Agreement v4.2

Counterparty draft used by Meridian for legal review and workflow testing.

Document ID	CTR-010
Owner	Legal / Procurement
Status	Counterparty Draft — Under Review
Effective Date	2024-01-15
Customer	Meridian Holdings Ltd.
Counterparty	Northwind Cloud Systems LLC
Contract Value	USD 2,400,000 annually
Governing Law	State of Delaware

Synthetic corporate document for demo, evaluation, and retrieval workflows only. All parties, people, systems, repositories, and events are fictional.

1. Parties, Scope, and Order of Precedence

This Master Service Agreement (the **Agreement**) is entered into by and between **Meridian Holdings Ltd. (Customer)** and **Northwind Cloud Systems LLC (Provider)** for managed cloud retrieval, analytics acceleration, and knowledge-operations support services used by Meridian enterprise teams.

The Agreement governs production and pre-production services ordered under written service orders. Applicable service levels are set out in the Cloud Infrastructure SLA, and personal-data obligations are addressed in the Data Processing Addendum 2024. In the event of inconsistency, the more specific document governs only for the subject matter it expressly covers.

Commercial Schedule

Field	Draft Position
Initial Term	36 months starting 2024-01-15
Renewal	Automatic 12-month renewals unless notice is delivered 90 days before the renewal date
Annual Contract Value	USD 2,400,000 excluding approved overages and taxes
Primary Services	Managed retrieval cluster, secure API gateway, support coverage, analytics observability
Order of Precedence	MSA → Service Order → Cloud Infrastructure SLA → Data Processing Addendum

2. Security, Service, and Audit Support

Clause 2.4 — Reasonable Security Measures. Provider shall maintain administrative, technical, and physical safeguards designed to protect Customer Data against unauthorized access, loss, or misuse, using security measures consistent with generally accepted industry practice.

Clause 2.7 — Incident Cooperation. Provider shall use commercially reasonable efforts to investigate security events affecting the Services and shall keep Customer reasonably informed of material developments.

Clause 2.9 — Audit Materials. Provider may satisfy diligence requests by providing a current certification package, executive summary, or other summary materials selected by Provider. Customer shall not have an on-site or remote audit

right unless required by non-waivable law.

Review cue: clauses 2.7 and 2.9 are intentionally softer than Meridian policy and baseline language. They are suitable targets for contract-gap extraction and recommendation workflows.

3. Data Use and Intellectual Property

Clause 3.2 — Service Data. Provider may collect and use service telemetry, diagnostic output, and de-identified usage information to operate, secure, improve, and train Provider service features, provided that Provider does not intentionally identify Customer personnel in such data.

Clause 3.4 — Derivatives and Improvements. Any model refinements, derived schemas, prompt patterns, runbooks, or automation artifacts developed jointly in connection with the Services shall be jointly owned by the parties, and each party may use such derivatives without further consent or accounting to the other party.

4. Liability and Indemnification

Clause 7.1 — Exclusion of Certain Damages. Neither party will be liable for lost profits, revenue, goodwill, or indirect, incidental, special, exemplary, or consequential damages, except to the extent such damages are awarded to a third party under an indemnified claim.

Clause 7.3 — Unlimited Liability. Each party shall be liable to the other for all losses, damages, costs, and expenses arising out of or related to this Agreement, and no monetary cap or aggregate limit shall apply unless expressly stated in the applicable service order.

Clause 7.5 — Indemnification. Provider shall defend and indemnify Customer from third-party claims alleging intellectual-property infringement or unauthorized disclosure of Customer Data caused by Provider. Customer shall defend and indemnify Provider for claims arising from Customer materials or configurations supplied by Customer. Neither party will be responsible for consequential damages outside this section.

Clause 7.8 — Limitation Period. Any claim arising under or related to this Agreement must be brought within twelve (12) months after the event giving rise to the claim, regardless of any contrary statute of limitations.

Observed Risk Signals

- Section 7.3 creates uncapped financial exposure because it contains no liability ceiling for general commercial claims.
- Section 7.5 does not clearly align remedies with the Data Processing Addendum or the supplier code of conduct.
- Section 7.8 shortens the claim window to 12 months, which is tighter than Meridian’s approved 24-month fallback for strategic vendors.

5. Termination, Renewal, and General Terms

Clause 8.1 — Initial Term. The initial term is thirty-six (36) months unless terminated earlier in accordance with this Agreement.

Clause 8.2 — Automatic Renewal. Following the initial term, the Agreement renews automatically for successive twelve-month periods unless either party delivers written notice of non-renewal at least ninety (90) days before the end of the then-current term.

Clause 8.4 — Termination for Convenience. Neither party may terminate this Agreement for convenience during the initial term.

Clause 9.6 — Governing Law. This Agreement is governed by the laws of the State of Delaware, without regard to conflicts-of-law principles.

Revision History

Version	Date	Owner	Summary
4.0	2023-11-27	Northwind Legal	Introduced shared-derivative language and revised renewal mechanics.
4.1	2023-12-19	Northwind Legal	Added 12-month claims limitation and narrowed audit support language.
4.2	2024-01-12	Northwind Legal	Current draft issued for Meridian review.

Review Routing Hints

- Extract: Contracting Party, Effective Date, Annual Value, Term Duration, Governing Law, Liability Cap, Notice Period.
- Findings: unlimited liability, joint derivative IP, 90-day auto-renewal, short limitation period.
- Comparison anchors: liability cap, IP ownership, notice period, audit rights, data-use language.